Countervailing forces to drive the Construction Outlook

#australia #construction

By Pat Bustamante
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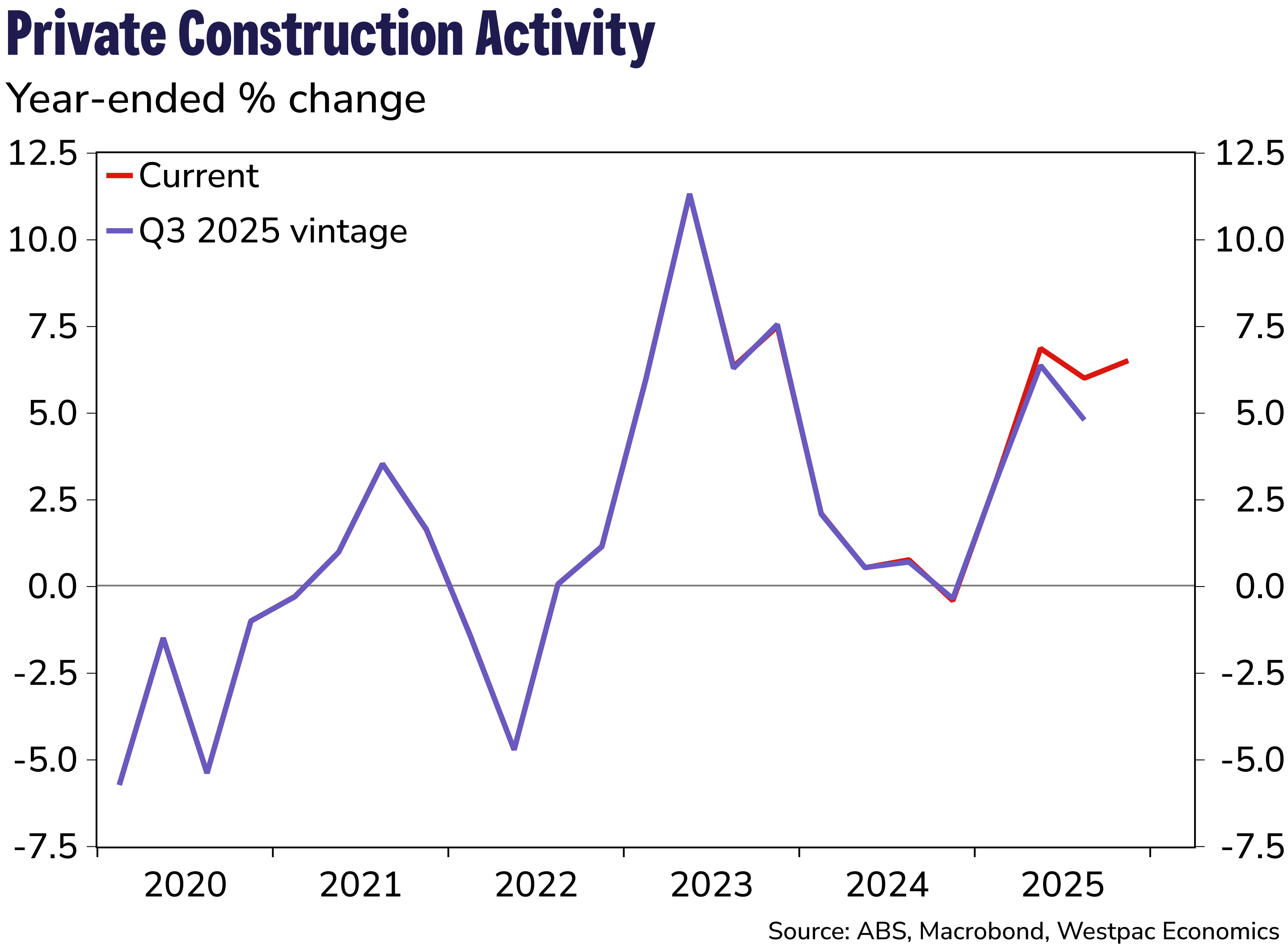
Share

Total construction activity declined 0.1% in Q4 2025 to be 3.0%yr higher in year-ended terms. Public infrastructure declined sharply, down almost 4.0%qtr and 8.0%yr. This was offset by a further expansion in residential and other non-residential building activity. The surprise points to small downside risks to our Q4 GDP nowcast.

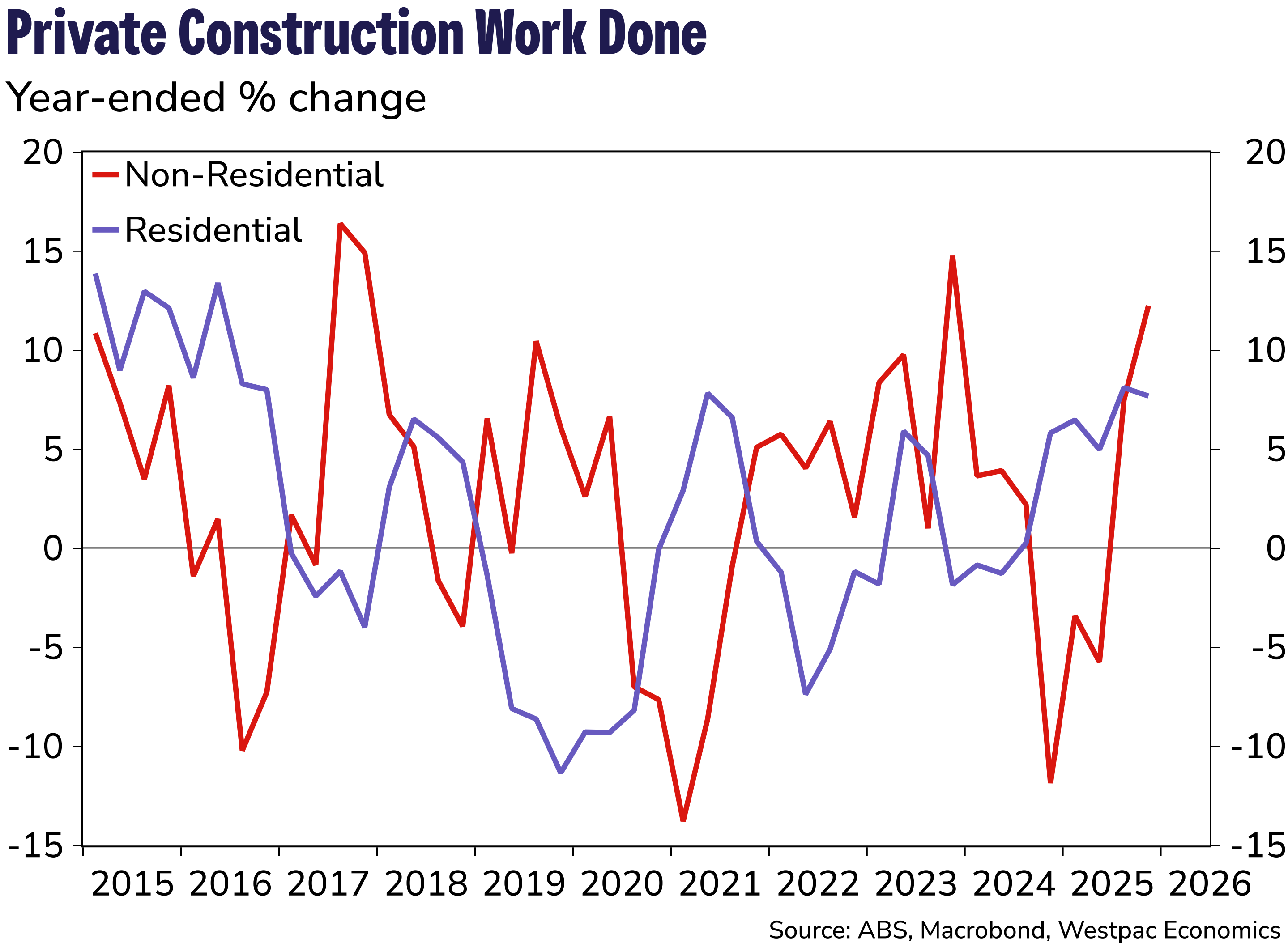
Total construction work done fell 0.1%qtr in Q4 2025, weaker than the 1.2%qtr expected by the market and Westpac Economics. Despite the fall, revisions to previous quarters saw activity expand 3.0% in year-ended terms. Private sector activity was revised up, with year-ended growth to Q3 2025 now 1.2ppts higher, implying that the private sector rebound from mid-2025 (see here) has been stronger than the ABS had previously estimated.



Overall, today's results highlight two offsetting forces that both explain the Q4 outcome and will shape the near-term outlook. Public infrastructure work has softened again following its Q3 stabilisation, largely reflecting the completion of major transport and electricity projects. This has been partly offset by strong private activity, with private residential construction up 7.7%yr and new commercial buildings surging 12.5%yr — the fastest pace since December 2017 (outside of COVID).

What does this mean for the near-term outlook?

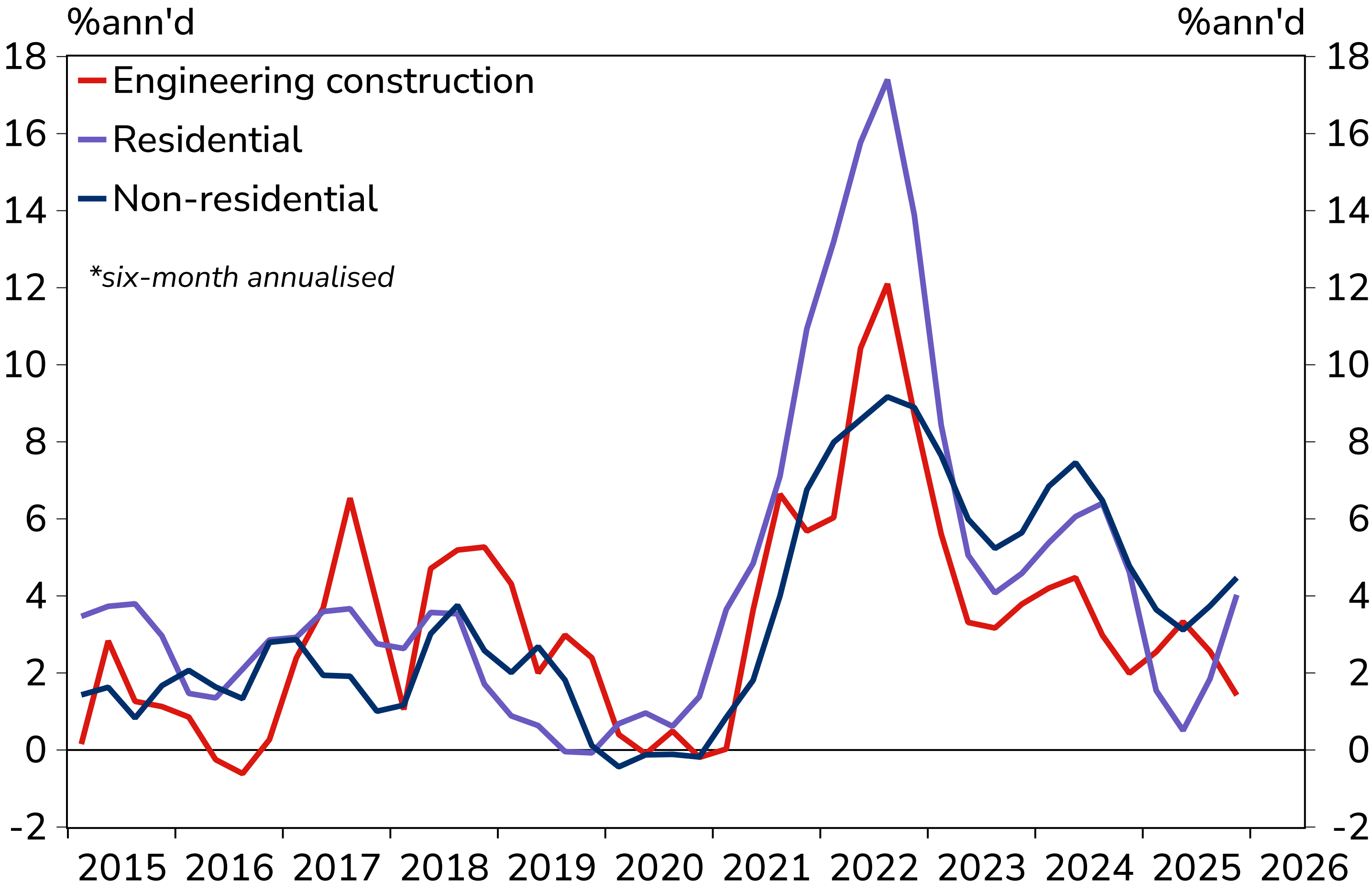
This tension is likely to define the outlook over the next few years. Public infrastructure activity should remain elevated in level terms, but with growth moderating from post-pandemic highs, increasingly freeing up labour and capacity for the private sector (a point we have previously made see here). Against this backdrop, private construction is well placed to drive overall activity, as the sector works through a sizeable backlog of residential and non-residential projects — most notably data centres, where the value of work under construction has more than doubled over just two quarters, an unprecedented expansion. Beyond this, private engineering construction tied to electricity generation and distribution is likely to strengthen further as investment ramps up ahead of 2030 and the Federal Government's 82% renewable energy target.



What about inflationary pressures?

Looking at the cost pressures, the data echoed a message seen in recent CPI data, that building and residential construction costs continue to accelerate in part driven by the unwind of developer discounts previously used to incentivise demand. On the other hand, engineering construction costs are moderating sharply, up only 1.4%yr on six-month annualised basis – below the pre-pandemic decade average and well below the pandemic peak of 12.0% in Q3 2022, largely reflecting weakness in activity.

Costs pressures increase as supply expands



Source: ABS, Macrobond, Westpac Economics

Implications for the National Accounts

Today's release is a key partial for the December quarter National Accounts. While the headline construction result is slightly negative, it does not imply a material drag on Q4 GDP. The surprise points to small downside risks to our Q4 GDP nowcast (around 0.1ppts for the quarter). Taken in isolation, today's data are consistent with ongoing momentum in domestic demand through Q4, rather than a renewed slowdown.

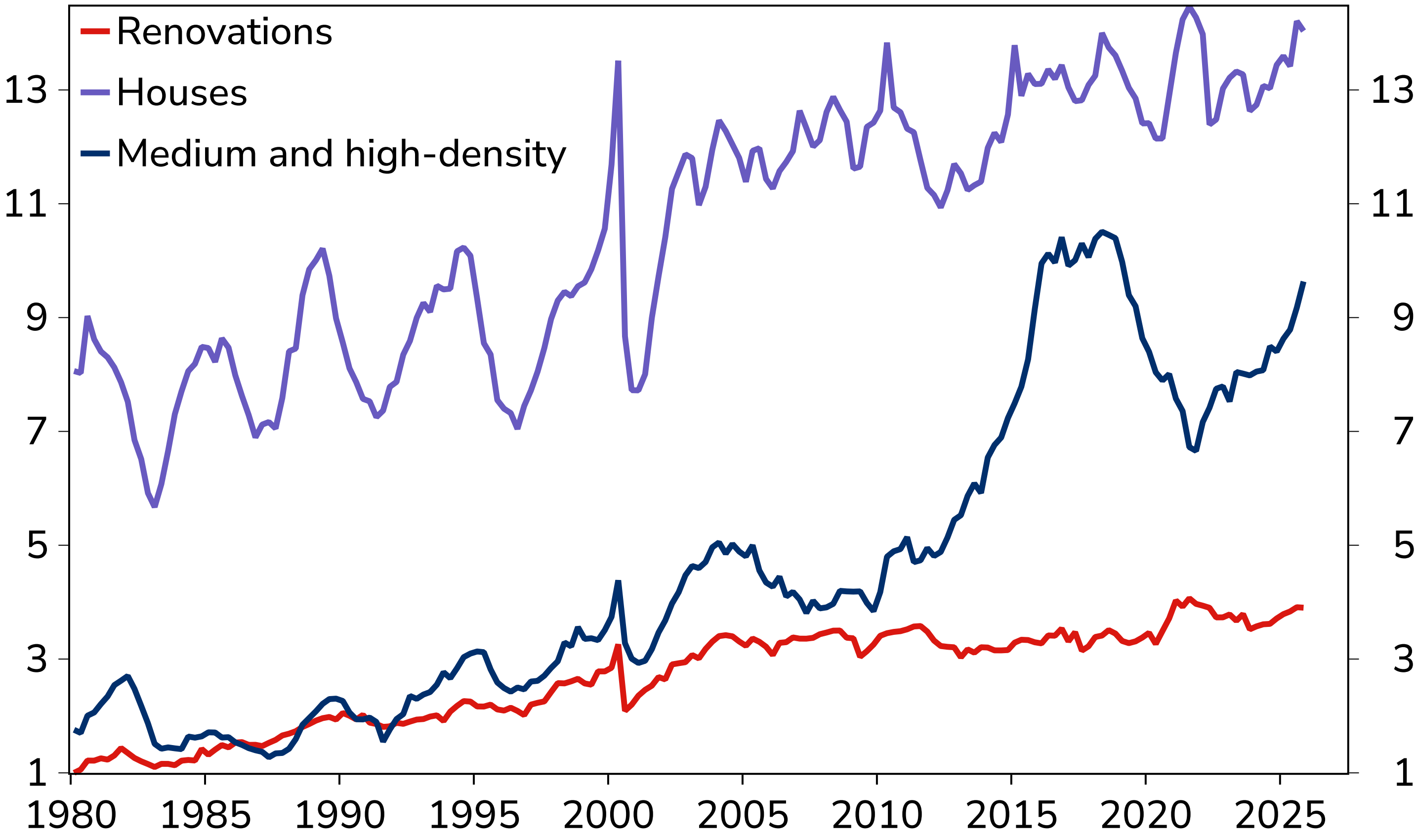
The detail

Residential construction

Residential construction rose 1.0%qtr in the December quarter and was 8.0% higher over the year – equal strongest year-ended outcome since the June quarter 2016 (outside of COVID pandemic). The gain was driven by a 1.2%qtr lift in the construction of new dwellings, partly offset by a small fall in renovations (-0.2%qtr). While the firm expansion in new dwelling construction suggests the sector is responding to housing shortages, the decline in renovation activity could be an early sign that shifting expectations about the interest rates outlook is having an impact in the residential space.

Residential construction has also picked up

All sectors, $bn



Source: ABS, Macrobond, Westpac Economics

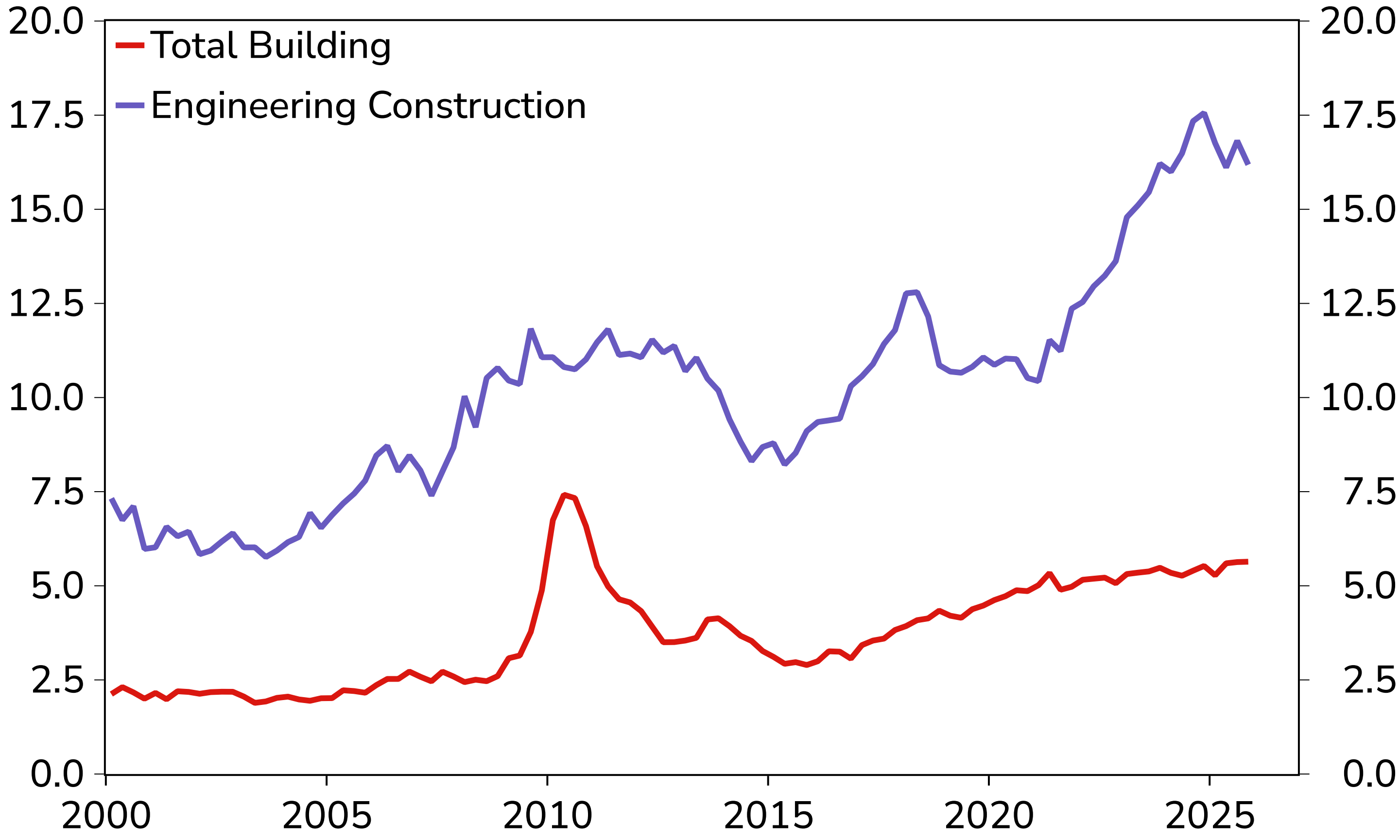
Engineering construction

Engineering construction fell 1.3%qtr and 2.7%yr, extending the downturn that began in mid-2025. The fall was driven by a 3.8%qtr decline in public infrastructure works, which were down almost 8.0% in year ended terms. Public infrastructure works has fallen in three of the past four quarters as many mega-infrastructure projects funded by state governments are now completed (such as Sydney's WestConnex and the Western Sydney Airport).

As we have previously noted, easing public infrastructure works will help free up resources to be used elsewhere in the construction sector and support a cyclical upturn in productivity as these projects come online (see market outlook).

Public Total Construction

Chain Volume, Quarterly, $Billions

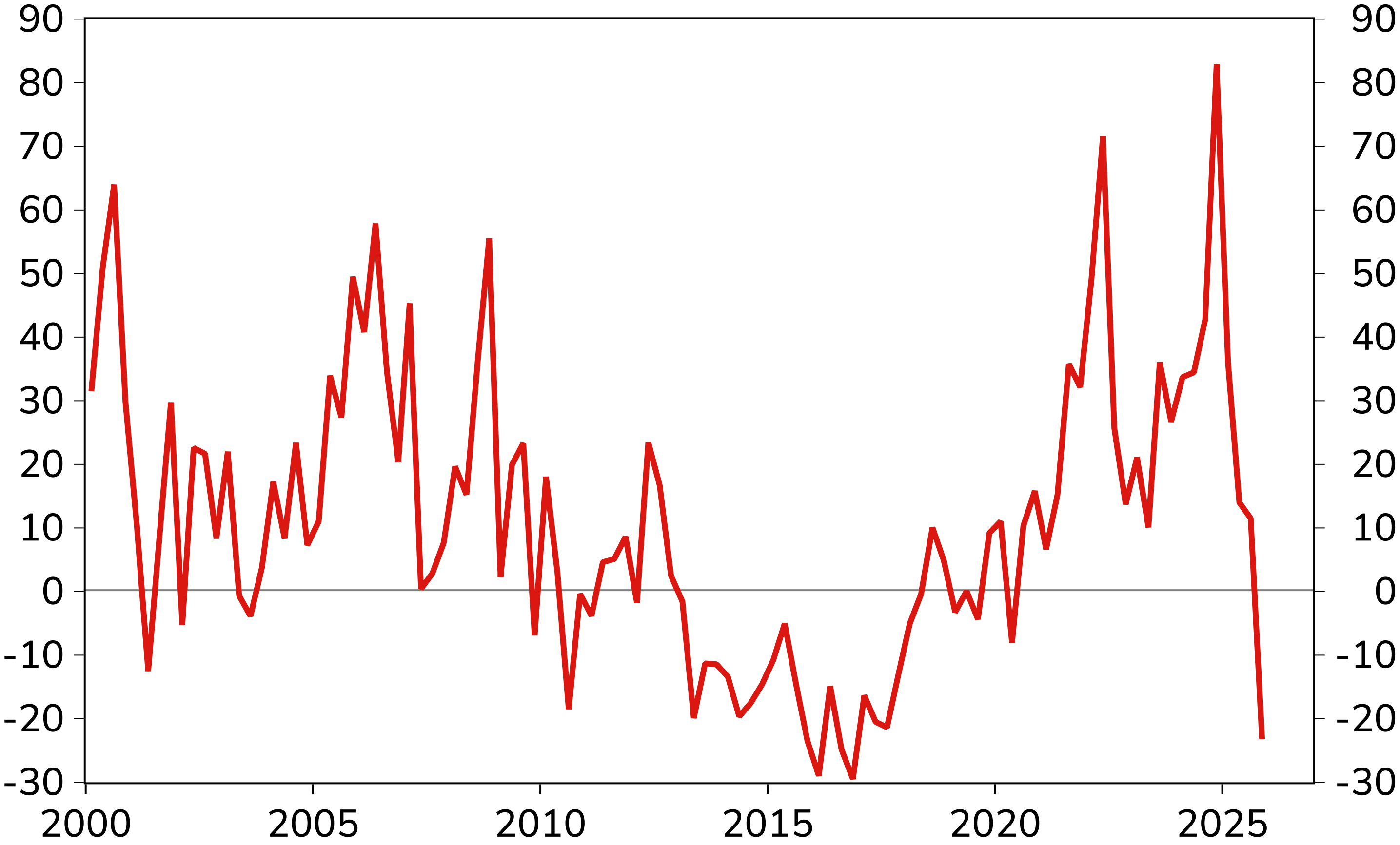


Source: ABS, Macrobond, Westpac Economics

In the December quarter we also saw a large fall in energy generation and distribution work, which declined 23%yr, the sharpest fall since early 2017. The near-term construction pipeline looks full of potential, but projects remain uncertain, including in electricity generation and distribution. Without a pickup in investment and construction activity, the Federal government's policy objective of 82% renewable energy generation by 2030 remains at risk.

Public Electricity Generation Work Done

Year-ended % change



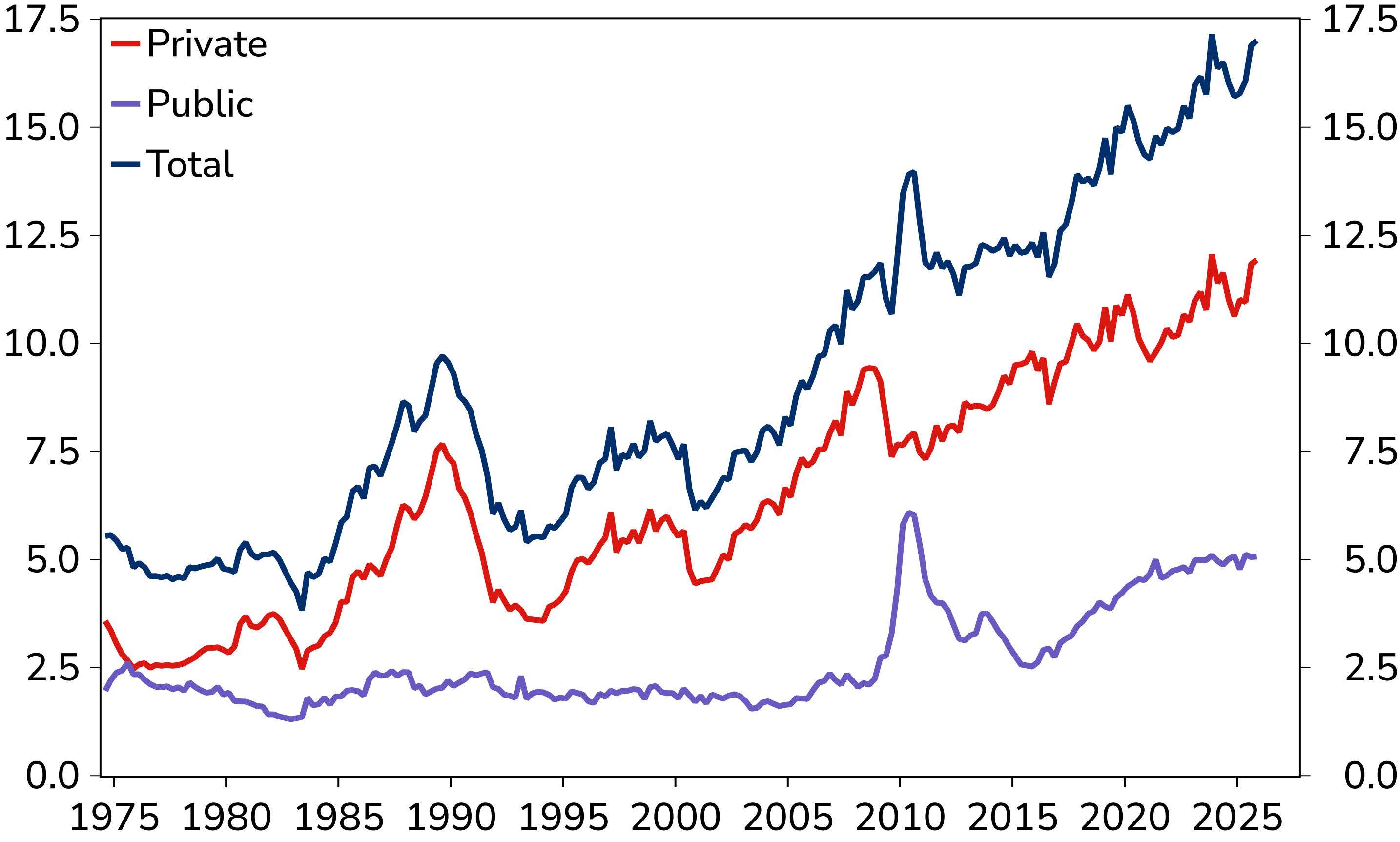
Source: ABS, Macrobond, Westpac Economics

Non-residential building

Non-residential building rose 0.7%qtr and 8.2%yr, pointing to improving conditions in private commercial construction. Private activity lifted a healthy 0.8%qtr and 12.3%yr, sharpest year-ended lift since the December quarter 2017.

Non-Residential Construction Work Done

Chain Volume, $bn

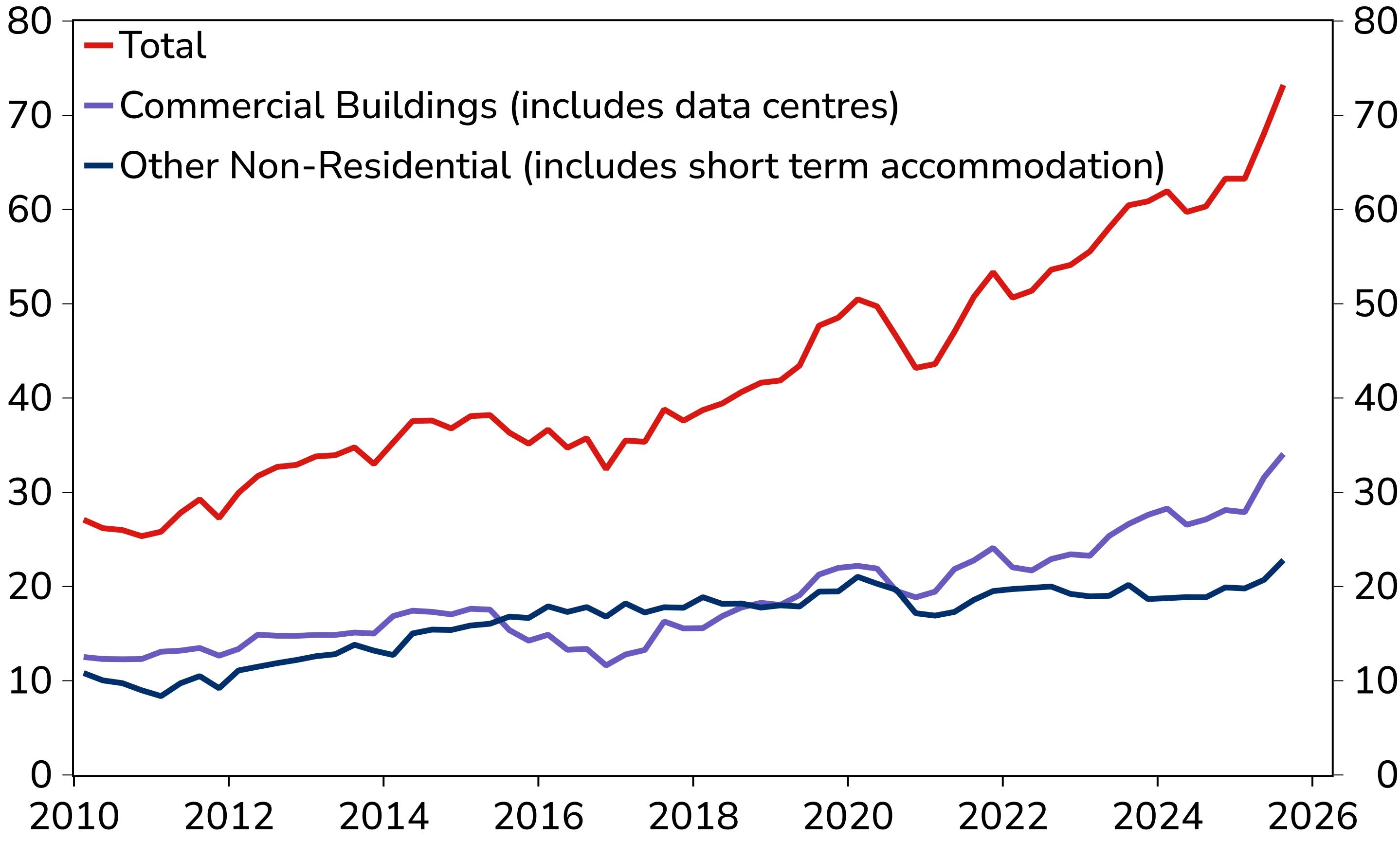


Source: ABS, Macrobond, Westpac Economics

The strength likely reflects data centre projects currently under construction, with the value of work yet to be completed rising from $5.5bn in Q1 2025 to around $11bn in Q3 2025 (see total commercial buildings, which include data centres). Accommodation projects are also supporting activity in this segment (see other non-residential).

Private Non-Residential Projects Under Construction

Values, $billions



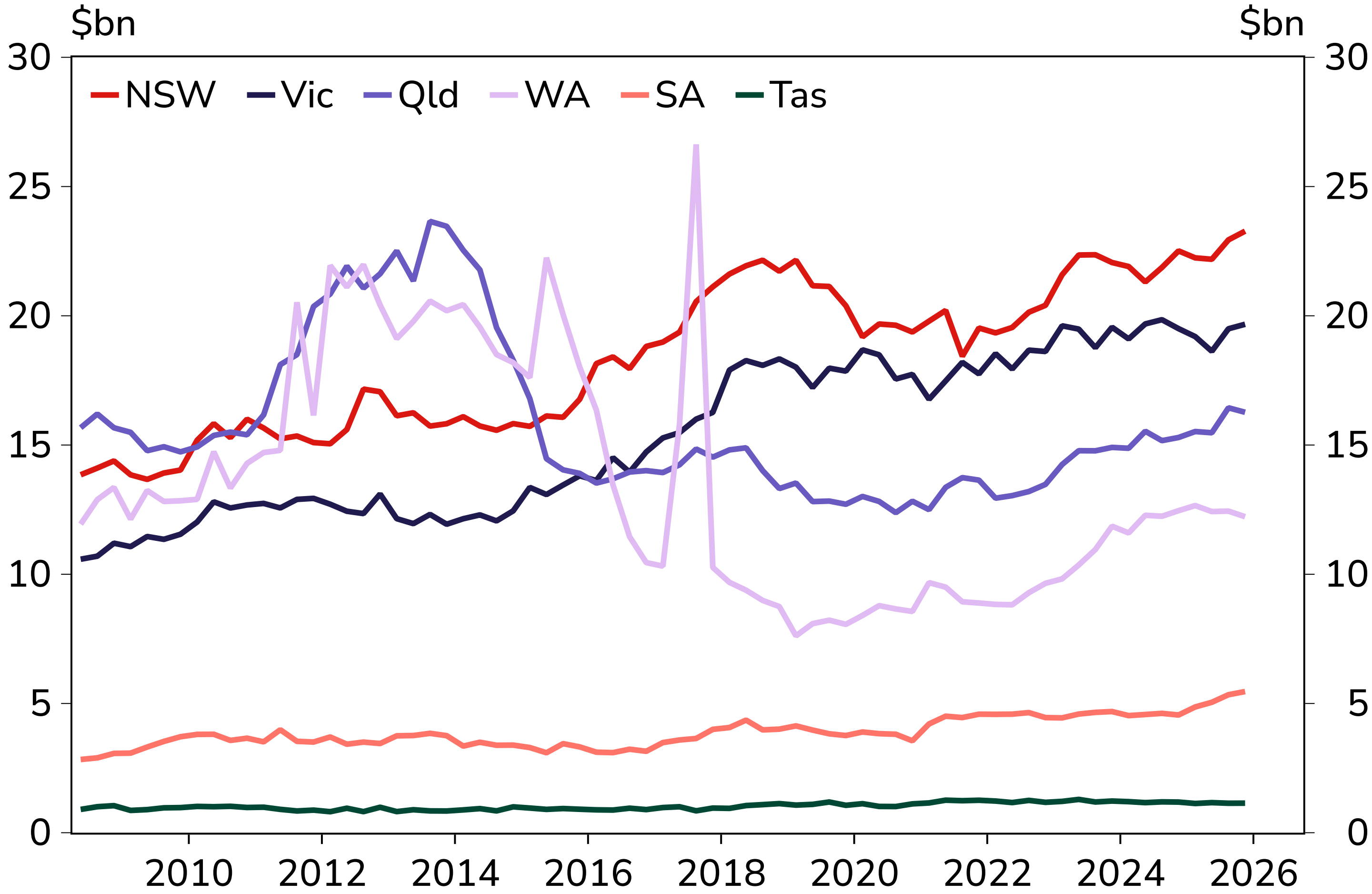
Source: ABS, Macrobond, Westpac Economics

State detail

State-level outcomes were more mixed in the December quarter. Building-led strength continued to be concentrated across the east coast and South Australia, consistent with the solid lift in residential and non-residential activity nationally.

By contrast, states with a larger exposure to engineering construction, including Western Australia and the Northern Territory, continued to see softer conditions as large project activity normalised. Overall, the dispersion in outcomes across states reflects the ongoing divergence between resilient building activity and weaker engineering construction.

NSW, Vic and SA lead the charge



Source: ABS, Macrobond, Westpac Economics

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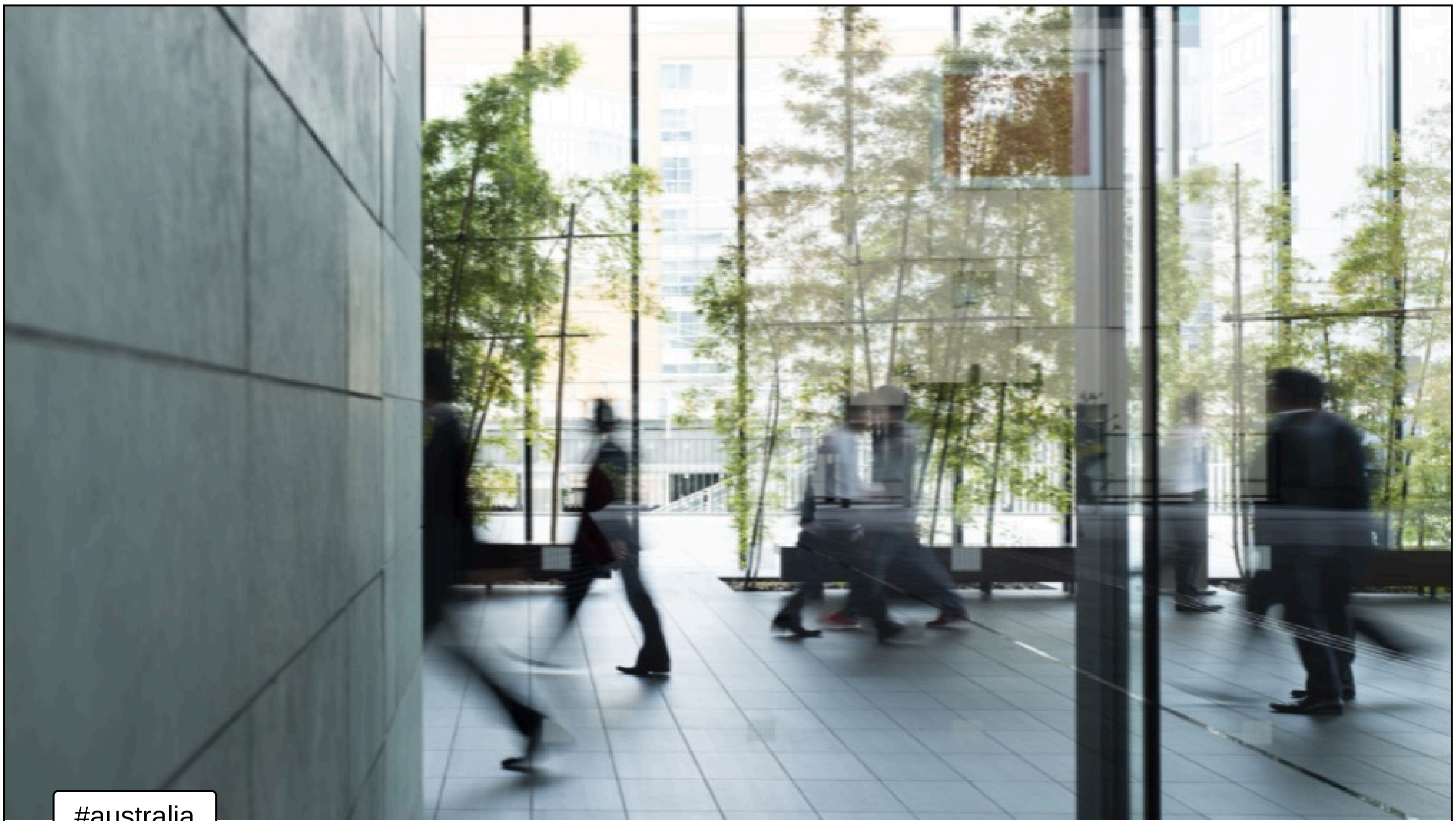

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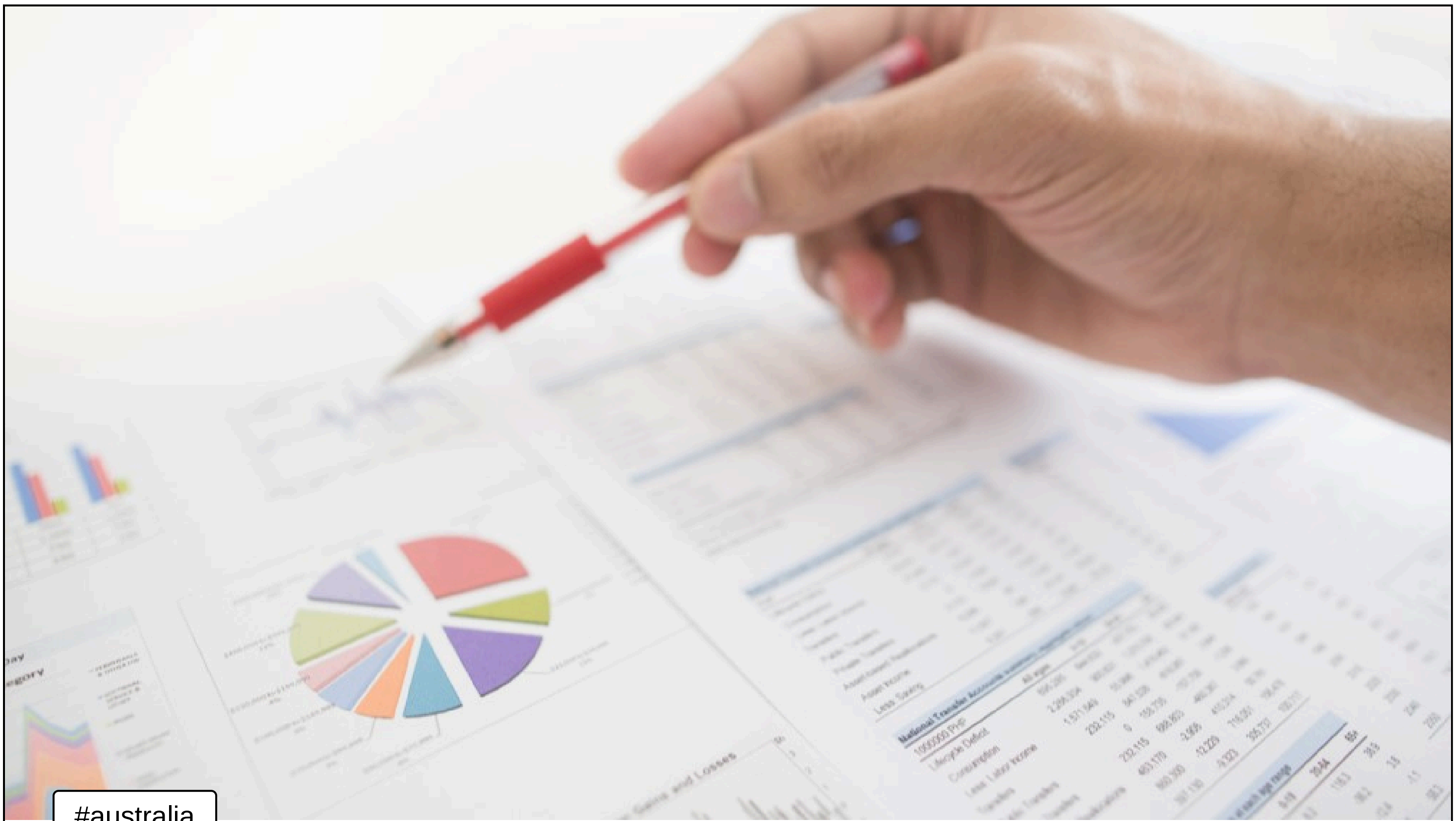

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